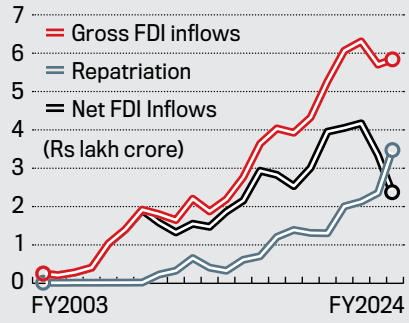
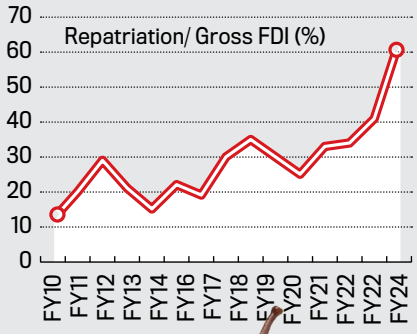
FDI FLOWS TO INDIA

Gross FDI inflows fell 16 per cent in FY 24; as foreign investors pull out money, net FDI inflow (gross FDI minus repatriation) falls



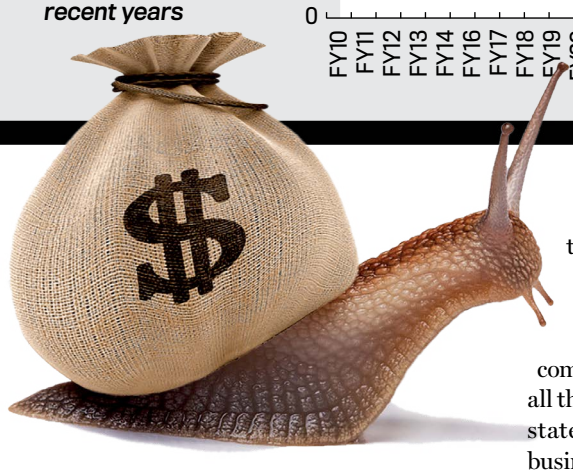
REPATRIATION FROM INDIA

FDA repatriation happens when international firms move their investments back after earning returns. It has steadily grown in recent years



WHY FDI IS DROPPING

- ***Foreign companies repatriated, or moved back, 63 per cent or $44.4 billion (Rs 3.7 lakh crore) of the total FDI in FY24***
- ***Concentration of FDI in sectors such as IT, trading and non-conventional energy, where investors do not have to deal with regulations regarding land***
- ***Critics say that policy incentives through the "Make in India" and PLI schemes have fallen short of the intended objectives. Of the 14 focus sectors under the PLI scheme, only non-conventional energy has gained prominence in FDI inflows***
- ***Free trade agreements have benefitted partner countries more, with reduction of import duties by India***
- ***Global options available for investors have increased, with opportunities in the US and Europe rising. Funds kitty has shrunk too***



Graphic by TANMOY CHAKRABORTY

increased," says Madan Sabnavis, chief economist, Bank of Baroda. "The funds kitty itself has shrunk and it is being distributed among a larger number of countries, including developed nations."

GETTING FDI ON TRACK

The Economic Survey 2023-24 says that the focus must be on improving the ease of doing business across sectors and extending beyond sectors attractive to FDI alone. "While several low-hanging fruits with respect to the ease of doing business have been plucked already over the years, further work may lie in detail across all levels of government—national, state and local—and across regulators," it said.

A research paper from TeamLease RegTech, a regulatory compliance management firm, in May this year said that there are 1,536 Acts and rules, 69,233 compliances and 6,618 annual filings that companies need to comply with. Of course, each company may not have to contend with all the compliances, and they vary from state to state and the nature of their business. Most compliances have to do with labour, which accounts for 30 per cent of the applicable laws and rules and 47 per cent of the compliances.

Experts are of the view that rather than FDI as a route to capital formation, the government should be trying to boost investment from domestic players. "Private investment revival, when it happens, will be the first indicator of more FDI coming in," says Forbes. Sabnavis agrees: "The government can only provide the policy framework and the environment to operate or the ease of doing business." R.C. Bhargava, chairman, Maruti Suzuki, adds, "While government policies can determine whether manufacturing can flourish or not, they cannot actually result in accelerating manufacturing growth. The pace of growth would always be determined by the actions of companies."

Forbes says that the government should use the upcoming budget in February to announce some long-pending reforms that will attract more foreign investment. "In the financial sector, the privatisation of some PSU banks has been pending. Our interest rates are still higher than many countries that attract a lot of FDI. And the four labour codes passed in 2019 are still pending implementation," he said. Both Sitharaman and commerce minister Piyush Goyal have recently flagged high interest rates as a dampener to growth, and wanted the Reserve Bank of India to change its tough stance on using high rates to tackle inflation. "At a time when we want industries to build capacities, our bank interest rates will have to be far more affordable," she said at a State Bank of India event in Mumbai recently.

FDI may be a relatively small component of the country's overall GDP, but it does indicate foreign investors' interest in India. By that yardstick, there are some red flags that have been raised and need to be addressed. A prolonged slowing down of FDI does not augur well for an economy aspiring to be among the top three economies in the world. ■